

Addressing Compensation Challenges Through Fair and Data-Driven Practices

Organizations face growing pressure to maintain competitive compensation programs while managing financial constraints and responding to increasing employee expectations. As compensation decisions become more complex, organizations are placing greater emphasis on fair pay practices, market data, and performance measurement to guide their strategies.



Finding: Budget constraints and rising employee expectations continue to challenge compensation decisions

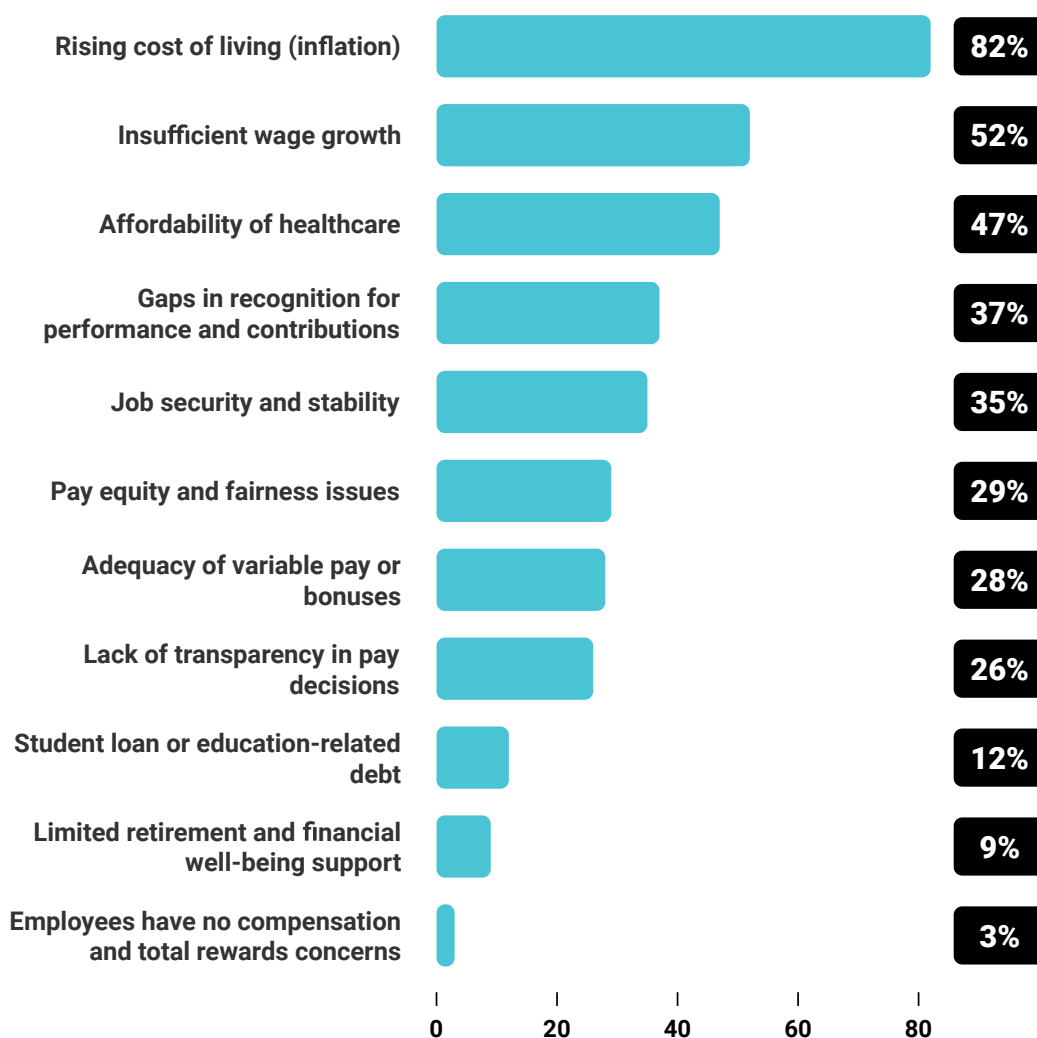
Organizations face competing pressures when designing compensation programs. Budget constraints remain the most common challenge (44%), followed by weak links between pay and performance (30%), wage compression (28%), and difficulty personalizing rewards to employee needs (27%).

What are the top three major challenges faced by the compensation and total rewards system in your organization? (select up to three)



From the employee perspective, the greatest concern is the rising cost of living (82%), followed by insufficient wage growth (52%) and the affordability of healthcare (47%). Together, these findings highlight the growing challenge of balancing organizational constraints with employees' expectations for competitive, meaningful, and sustainable rewards.

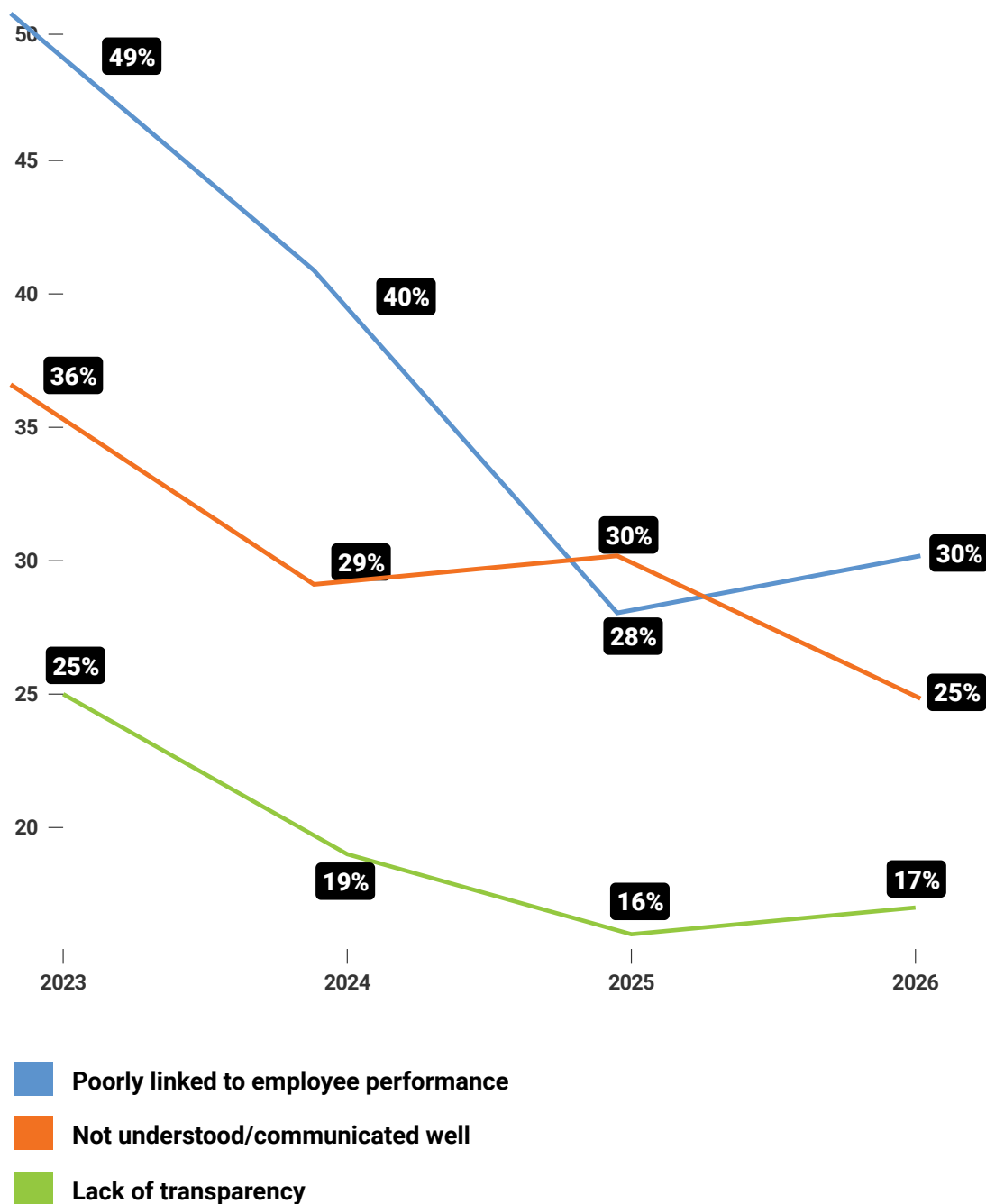
**Which compensation and total rewards issues are your employees most concerned about?
(select all that apply)**



Longitudinal analysis: Communication challenges have declined, while pay-for-performance remains a persistent concern

Organizations appear to be making steady progress in communicating compensation and total rewards programs. The proportion reporting that compensation is not understood or communicated well declined from 49% in 2023 to 25% in 2026. However, concerns about pay-for-performance alignment (30%) and transparency (17%) persist, suggesting that organizations should now focus on strengthening the fairness and effectiveness of compensation decisions, not just improving communication.

What are the top three major challenges faced by the compensation and total rewards system in your organization? (select up to three)



Note on Methodology: Results from 2022 are excluded from the longitudinal comparison because respondents could select up to five challenges, compared with up to three in later years. In earlier years, "Not understood well by employees" was used; in 2025–2026 it was phrased as "Not understood/communicated well". "Reduced resources (e.g., budgetary constraints)" was added as a standalone option starting in 2025.



Finding: Nearly three-fifths of organizations track pay ranges

Many organizations have implemented practices to improve compensation fairness and consistency. Among respondents who identified providing fair and equitable pay as one of their organization's top three compensation and total rewards objectives, the most common initiative is complying with pay transparency laws (77%), followed by conducting periodic reviews to evaluate pay fairness (62%) and using real-time market data to benchmark and adjust pay (54%). Nearly half of organizations incorporate fair pay into their compensation philosophy (49%) and actively manage employee perceptions of pay equity (43%).

Organizations primarily measure metrics that support compensation planning and market positioning. The most commonly tracked metric is pay range (61%), followed by salary competitiveness (51%) and total cost of the workforce (48%). Many organizations also monitor compa-ratio (44%), range width (37%), and internal equity metrics (36%), indicating a focus on maintaining consistent pay structures and competitive compensation practices.

Differences by organizational size

Small organizations are more likely to track the total cost of the workforce (59%) than salary competitiveness (46%) or pay ranges (49%), reflecting a stronger focus on managing compensation costs. Larger organizations, however, are more likely to measure salary competitiveness, internal equity, market ratios, geographic differentials, and offer acceptance rates.

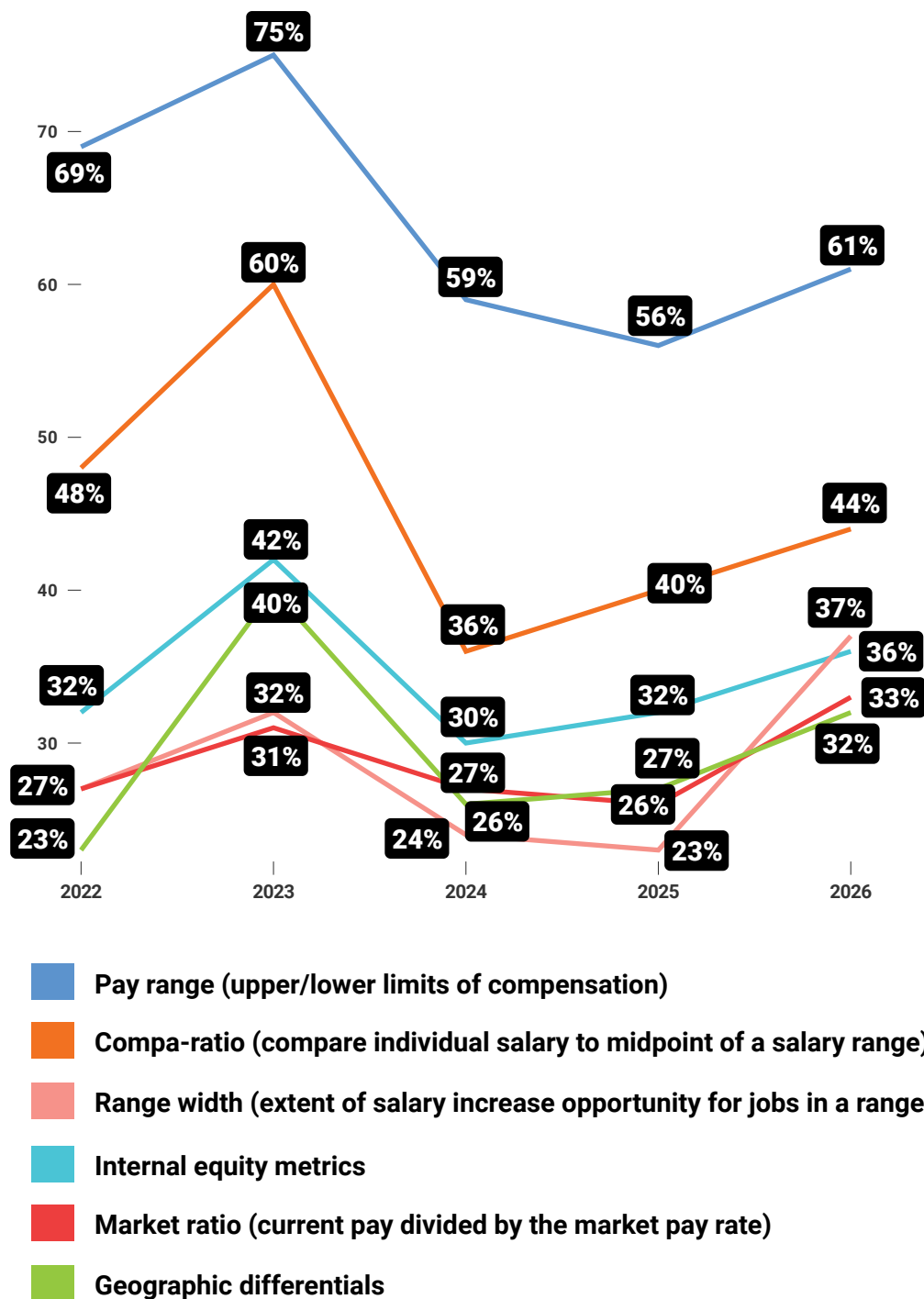
Which of the following compensation and total rewards metrics does your organization measure and track? (select all that apply)



Longitudinal analysis: Organizations are broadening their analytics tracking, moving beyond foundational pay ranges to incorporate market ratios, internal equity metrics, and geographic differentials

Pay ranges have remained the most widely tracked compensation metric, measured by 69% of organizations in 2022, peaking at 75% in 2023, and settling at 61% in 2026, providing a strong foundation for compensation management. At the same time, organizations are gradually expanding the use of metrics such as internal equity (32% to 36%), market ratio (27% to 33%), and range width (23% to 37%), reflecting a growing emphasis on fair and competitive compensation.

Which of the following compensation and total rewards metrics does your organization measure and track? (select all that apply)



Note on Methodology: "Salary competitiveness" was explicitly introduced as an independent item in 2025

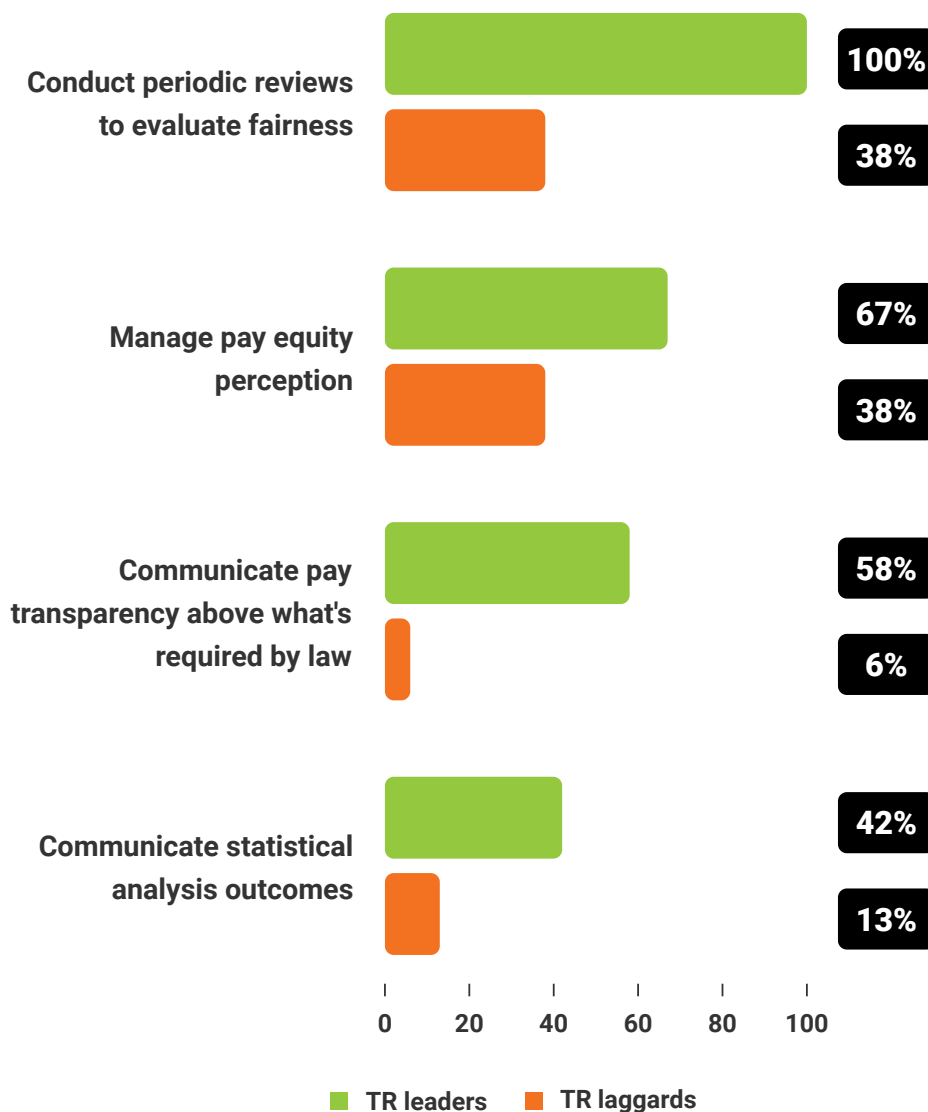
Results of Chi-square Test

A chi-square test of independence shows that TR leaders are much more likely than TR laggards to offer the listed initiatives to provide fair/equitable pay.

Finding: TR leaders demonstrate a stronger commitment to fair pay practices

TR leaders are substantially more proactive in implementing initiatives that promote fair and equitable pay. The largest difference is in conducting periodic reviews to evaluate pay fairness, with all responding TR leaders reporting this practice (100%) compared with just 38% of TR laggards.

Which of the following initiatives does your organization offer to provide fair/equitable pay? (select all that apply)

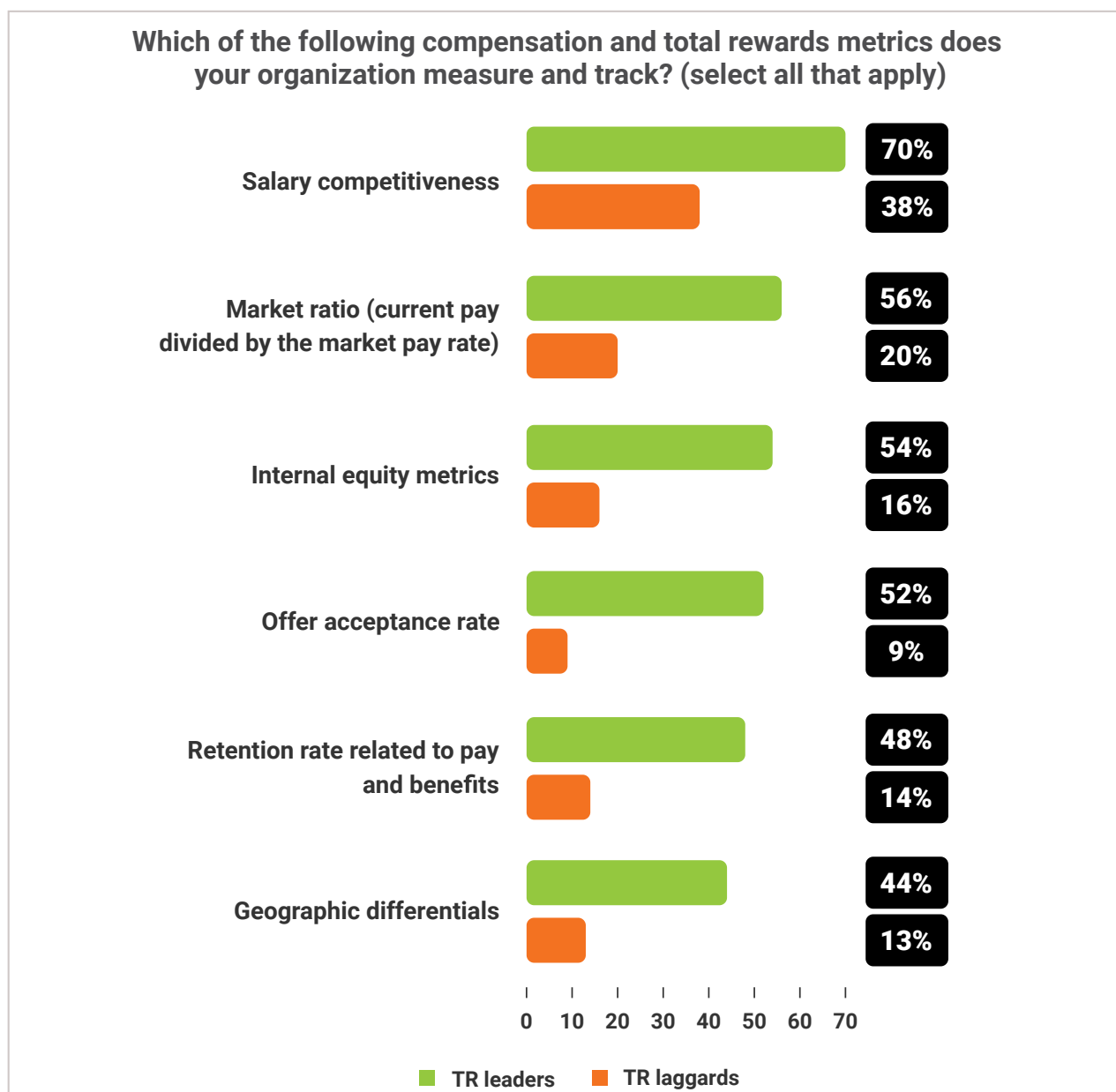


Results of Chi-square Test

A chi-square test of independence shows that TR leaders are much more likely than TR laggards to measure and track the listed metrics.

Finding: TR leaders rely on a broader range of compensation metrics to inform decisions

TR leaders are considerably more likely to measure metrics that evaluate both compensation effectiveness and workforce outcomes. The largest differences are in tracking offer acceptance rates (52% vs. 9%), market ratio (56% vs. 20%), internal equity metrics (54% vs. 16%), retention related to pay and benefits (48% vs. 14%), and geographic pay differentials (44% vs. 13%).



HRRI Strategic Recommendations

Based on our research consider the following suggestions:

- **Find ways to balance financial realities with employee expectations.**

Budget constraints remain the biggest challenge, while employees continue to feel the impact of rising living costs and insufficient wage growth. Review your compensation strategy to identify where limited resources can have the greatest impact. When significant pay increases aren't possible, consider strengthening other parts of your total rewards package, such as flexible work arrangements, recognition programs, career development, or well-being initiatives to better support employees.

- **Make fair pay an ongoing practice, not a one-time review.**

Many organizations are taking steps to improve pay fairness, but more mature organizations go further by regularly reviewing pay equity, using current market data, and communicating their approach to employees. Schedule regular pay equity reviews, update market benchmarks annually, and clearly explain how pay decisions are made to help build employee trust and confidence.

- **Measure the impact of your compensation strategy, not just compensation costs.**

Many organizations track salary ranges and workforce costs, but fewer measure whether compensation is helping attract and retain talent. Expand your reporting to include measures such as retention related to pay, offer acceptance rates, internal equity, and employee perceptions of fairness. Reviewing these measures regularly can help identify where compensation programs are delivering value and where improvements are needed.

- **Use compensation data to make better decisions.**

Organizations with more mature compensation strategies rely on a broader range of compensation metrics to guide their decisions. Bring together salary survey data, internal pay information, workforce trends, and compensation metrics into simple dashboards that managers and leaders can use when making compensation decisions. Using reliable data can improve consistency, support market competitiveness, and reduce bias.